

RE01

Macro Overview and the Rajasthan State Budget

Rajasthan Economy has roughly doubled its weight since 2013 - from 6 questions to 11-15 a paper. This chapter alone supplies 3-5 of them. GSDP growth, share in national GDP and the sectoral GSVA split were asked in 2018, 2023 and 2024; fiscal deficit and the FRBM Act in 2023 and 2024; the Rajasthan WPI base year word-for-word in 2016 and again in 2018.

This is the numbers chapter of Rajasthan Economy - how big the state's economy is, how fast it grows, what a Rajasthani earns, and how the state government raises and spends money. RPSC does not ask you to analyse any of it. It asks you to recall a figure, a percentage or a year. So the whole chapter is a memory job, and the marks are cheap if you fix the right numbers in the right slots.

Rajasthan Macro Economy & Budget

Size of the economy

- GSDP 2025-26 RE ~Rs 18.75 lakh cr
- GSDP 2026-27 BE Rs 21,52,100 cr
- Growth 8.66% constant / 10.24% current
- About 5% of India's GDP
- Largest state by area, 8th by population

Per capita income

- Rs 2,02,349 current prices
- Rs 1,03,189 constant prices
- Per capita GSDP 2023-24 Rs 1,87,454
- Below the all-India average

GSVA split 2025-26

- Services 47.7% - largest
- Industry 26.5%
- Agriculture & allied 25.7%
- smallest
- Order: Services > Industry > Agriculture

Budget 2026-27

- Total expenditure Rs 6,10,956 cr
- Total receipts Rs 6,01,480 cr
- Capital outlay Rs 53,978 cr (+37%)
- Presented by Diya Kumari, Feb 2026
- Education gets the largest allocation

Receipts mix

- Own tax 50%
- Central taxes 28%
- Grants-in-aid 14%
- Own non-tax 8%
- SGST is the biggest own-tax head

Deficits & debt

- Fiscal deficit 3.7% of GSDP
- Revenue deficit 1.1% of GSDP
- Debt 36.8% of GSDP
- FRBM Act 2005; 2011 & 2021 amendments

Institutions & indices

- 6 State Finance Commissions
- Articles 243-I and 243-Y
- State WPI base 1999-2000 = 100
- 154 commodities, 3 groups

Human development

- Census 2011: 6.85 cr, literacy 66.11%
- Sex ratio 928, density 200
- MPI poverty 29.90% to about 16%

First, know your source documents - RPSC quotes them by name

Every figure in this chapter comes from one of five documents. Learn which document says what, because the question stem usually names it. If a stem says 'as per the Rajasthan Economic Review', the answer is a growth rate or a sectoral share. If it says 'as per the Budget', the answer is a rupee amount or a deficit percentage. That single habit saves you from picking a correct-looking number from the wrong document.

- Rajasthan Economic Review - tabled in the Assembly a day before the budget. Source for GSDP, growth, per capita income, GSVA shares.
- Rajasthan Budget documents - the speech plus the annual financial statement. Source for expenditure, receipts, deficits, allocations.
- PRS Legislative Research state budget analysis - the standard secondary reading; it is where the percentage-change figures come from.
- Basic Animal Husbandry Statistics (BAHS) and the Directorate of Economics & Statistics, Rajasthan - livestock and price-index data.
- Census 2011 and NITI Aayog reports - the social indicators.
- Every budget and GSDP figure in this chapter is as of September 2026 - from the Budget 2026-27 documents and the Economic Review 2025-26. Quote a number with its year or do not quote it.

TRAP

'At current prices' and 'at constant prices' are two different answers to the same question. Current prices include inflation, constant prices strip it out. Rajasthan's per capita income is Rs 2,02,349 at current prices but Rs 1,03,189 at constant prices - almost double the difference. RPSC has put both in the same option set. Read the stem before you pick. And whatever you memorise, memorise it with its year attached - 'fiscal deficit 3.7 per cent' alone is useless, 'fiscal deficit 3.7 per cent of GSDP, Budget 2026-27' is an answer.

How big the Rajasthan economy is - GSDP and its growth

GSDP is Gross State Domestic Product - the money value of everything produced inside Rajasthan in a year. Two numbers matter to you: the size and the growth rate. And each of those comes in two flavours, current prices and constant prices. Fix all four.

The GSDP snapshot to memorise (as of September 2026)

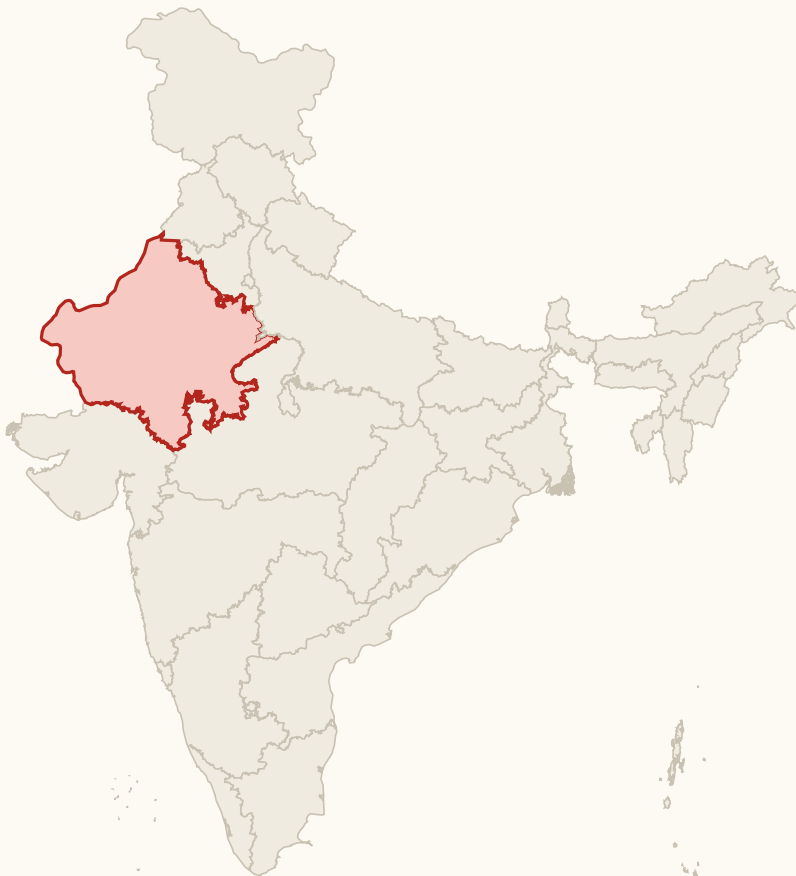
Item	Figure	Source
GSDP 2025-26 RE, current prices	Rs 18,75,413 crore (about Rs 18.75 lakh cr)	Economic Review / Budget 2026-27
GSDP 2026-27 BE, current prices	Rs 21,52,100 crore	Budget 2026-27
Growth at constant prices, 2025-26	8.66%	Economic Review 2025-26
Growth at current prices, 2025-26	10.24%	Economic Review 2025-26
Rise from 2025-26 RE to 2026-27 BE	About 15%	Budget 2026-27
Share in India's GDP	About 5%	Economic Review 2025-26
Rank by area / by population	1st by area; 8th by population	Census 2011

Rajasthan's rank among the states - the positions worth carrying into the hall (as of September 2026)

Indicator	Rajasthan's position	Source
Geographical area	FIRST - the largest state in India, about 10.4% of the country's area	Census 2011
Population	EIGHTH most populous state, 6.85 crore	Census 2011

Indicator	Rajasthan's position	Source
Share in India's GDP	About 5 per cent	Economic Review 2025-26
Per capita income	Below the all-India average	Economic Review 2025-26
Bajra, mustard, guar, moth, isabgol, henna, wool	FIRST in India	See chapter RE02
Groundnut and milk	SECOND in India	See chapter RE02
Soybean	THIRD in India	See chapter RE02

Rajasthan within India



Largest state by area - about 10.4% of India; 8th by population; about 5% of India's GDP

ASKED IN RAS

Asked in RAS Pre 2018 and again in 2023 - Rajasthan's approximate share in India's Gross Domestic Product? Answer: about 5 per cent. Asked again in 2024 in the growth form - GSDP growth at constant prices, answer 8.66 per cent for 2025-26. This trio (size, growth, share) is a documented three-paper repeat. Do not skip it.

TRAP

Do not confuse GSDP with GSVA. GSVA is value added at basic prices; GSDP adds product taxes and subtracts product subsidies. Sectoral shares (services 47.7%, industry 26.5%, agriculture 25.7%) are GSVA shares, not GSDP shares. RPSC words this precisely and the wrong-word option is deliberately placed.

Per capita income - and why Rajasthan sits below the national line

Per capita income is state income divided by population. Rajasthan is a big state with a big population and a large low-productivity farm sector, so its per capita income has always sat below the all-India average. That gap is the point of the question, not the exact rupee.

- Per capita income 2025-26 at current prices: Rs 2,02,349 - Rajasthan Economic Review 2025-26.
- Per capita income 2025-26 at constant prices: Rs 1,03,189 - Economic Review 2025-26.
- Per capita GSDP for 2023-24 was Rs 1,87,454 - a separate figure, do not mix it with per capita income.
- Rajasthan's per capita income has stayed below the all-India average in every recent year - if a stem asks only above or below, the answer is below.
- The reason is structural, and it is worth one line in a mains answer too - a quarter of value added still comes from low-productivity, rain-dependent agriculture that employs far more than a quarter of the workers.
- Never compare a fresh Rajasthan figure with a stale all-India figure - same year and same price base, or the comparison is meaningless.
- District Domestic Product estimates are published separately by the Directorate of Economics & Statistics, Rajasthan - the spread between the richest and poorest districts is wide.

Current prices vs constant prices - same year, two answers

At current prices	At constant prices
Includes inflation (nominal)	Inflation removed (real)
Per capita income Rs 2,02,349	Per capita income Rs 1,03,189
GSDP growth 10.24%	GSDP growth 8.66%
Used for size and share questions	Used for real-growth questions

ASKED IN RAS

Per capita income of Rajasthan was asked in RAS Pre 2016 and again in 2021. The safe answer format is the current-price figure from the latest Economic Review - Rs 2,02,349 as per the 2025-26 Review.

The sectoral split of GSVA - a documented 2018 / 2023 / 2024

repeat

First understand the word. GSVA is Gross State Value Added - the value a sector adds after you subtract the cost of the inputs it consumed. Add product taxes to GSVA and subtract product subsidies and you get GSDP. So GSDP is the size of the economy and GSVA is how that size is split between sectors. Whenever a stem gives you a sector percentage, it is a GSVA percentage.

Now the single most-asked fact in this chapter. Rajasthan's Gross State Value Added is divided into three sectors - primary (agriculture and allied), secondary (industry) and tertiary (services). Learn the order and the three percentages. RPSC has asked it in three of the last four papers, sometimes as a direct percentage, sometimes as a statement set. Read the shares with a comparison in mind - services under half, industry and agriculture almost equal at about a quarter each. Agriculture holding a quarter of value added is high, and that is what makes Rajasthan a farm-heavy state despite the desert.

GSVA composition of Rajasthan, 2025-26 (Rajasthan Economic Review 2025-26)

Sector	What it covers	Share of GSVA
Tertiary / Services	Trade, transport, finance, real estate, public administration	47.7% - largest
Secondary / Industry	Manufacturing, mining, construction, electricity	26.5%
Primary / Agriculture & allied	Crops, livestock, forestry, fishing	25.7% - smallest

Sectoral composition of GSVA, 2025-26



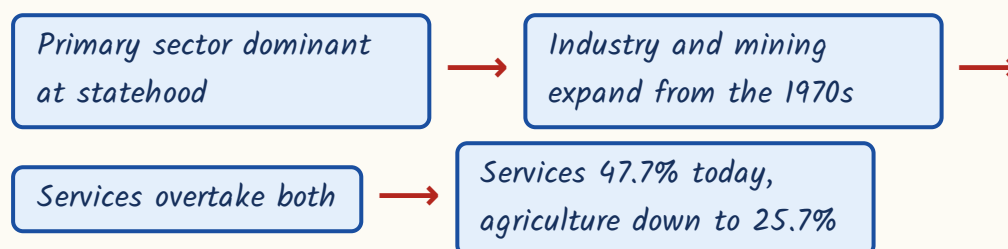
YAAD RAKHO

Mnemonic for the order: S-I-A - Services, Industry, Agriculture, descending.
And the rough shares are 48 - 26 - 26. If an option puts agriculture above industry, or industry above services, reject it immediately.

ASKED IN RAS

Asked in RAS Pre 2023 and 2024 - the share of the services sector in Rajasthan's Gross State Value Added. Answer: about 47.7 per cent as per the Economic Review 2025-26. The same cluster was asked in 2018 in the sectoral-composition form. Treat this as guaranteed.

How Rajasthan's economy shifted - the standard structural sequence

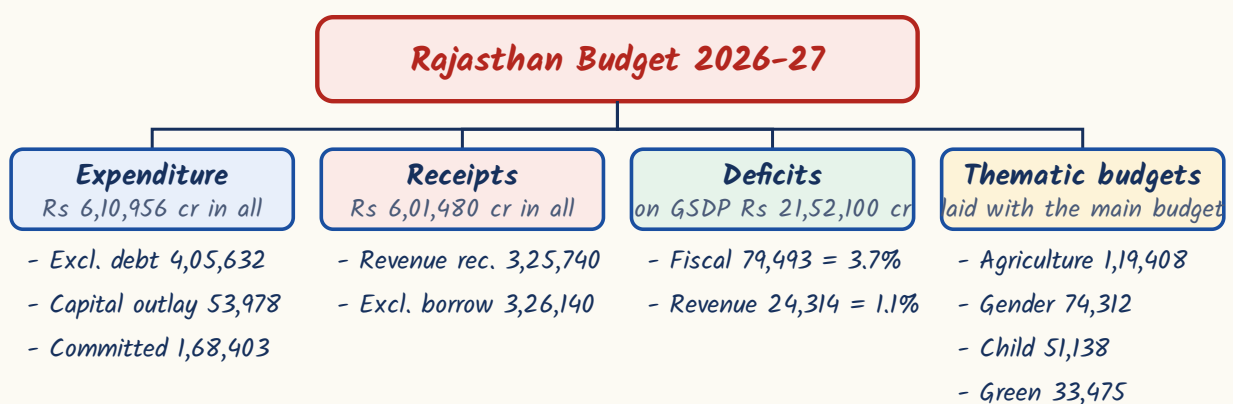


The Rajasthan Budget 2026-27 - headline numbers

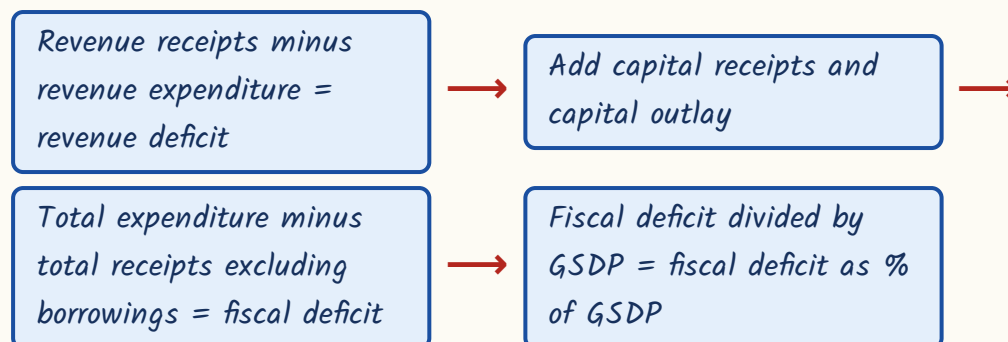
The state budget is presented in the Assembly in February. Budget 2026-27 was presented by Deputy Chief Minister and Finance Minister Diya Kumari - the third budget of the present government. Note who presents it, because RPSC has asked the office rather than the name.

- Total expenditure 2026-27: Rs 6,10,956 crore. That is the 'total size of the budget'.
- Total receipts 2026-27: Rs 6,01,480 crore.
- Total budget size in 2025-26 was Rs 5,37,068 crore - so the budget grew by roughly Rs 74,000 crore.
- Expenditure excluding debt repayment: Rs 4,05,632 crore, a 13% rise.
- Receipts excluding borrowings: Rs 3,26,140 crore, a 14% rise.
- GSDP assumed for 2026-27: Rs 21,52,100 crore - every deficit percentage is calculated on this base.
- From Budget 2025-26 keep three funds: Vivekanand Employment Assistance Fund Rs 500 crore, Gig and Unorganised Workers Development Fund Rs 350 crore, CM Amrut Aahar Yojana Rs 200 crore.

How Budget 2026-27 is built up (Rs crore)



How to read any state budget - the order that produces the deficits



Budget 2026-27 against 2025-26 (Rajasthan Budget documents; PRS analysis; as of September 2026)

Item	2025-26	2026-27
Total budget size / expenditure	Rs 5,37,068 crore	Rs 6,10,956 crore
Fiscal deficit as % of GSDP	4.3% BE, 3.9% RE	3.7%
Revenue deficit	Rs 32,983 crore (RE) = 1.8%	Rs 24,314 crore = 1.1%
Outstanding liabilities as % of GSDP	38% (RE)	36.8%

CURRENT LINK

Current link, as of September 2026: the headline announcements of Budget 2026-27 are the Mukhyamantri Yuva Swarojgar Yojana (100% interest subsidy on loans up to Rs 10 lakh, corpus Rs 1,000 crore), the Lakhpati Didi loan limit raised from Rs 1 lakh to Rs 1.5 lakh, the Cooperative Dairy Infrastructure Development Fund doubled to Rs 2,000 crore, and Rs 5,000 crore for tourism. Scheme-to-feature matching from the latest budget is a standing RPSC current-affairs item.

Where the rupee comes from - the receipts side

Revenue receipts for 2026-27 are Rs 3,25,740 crore. Split them into four buckets and learn the order. Half is what the state itself taxes, a little over a quarter is Rajasthan's share of central taxes, and the rest is grants and non-tax income.

Revenue receipts of Rajasthan, 2026-27 (Budget 2026-27; as of September 2026)

Source	Amount	Share of revenue receipts
Own tax revenue	Rs 1,62,668 crore	50%
Share in central taxes	Rs 90,446 crore	28%
Grants-in-aid from the Centre	Rs 44,191 crore	14%
Own non-tax revenue	Rs 28,435 crore	8%

Own tax heads in order of yield, 2026-27 (Budget 2026-27; as of September 2026)

Tax head	Amount (Rs crore)
State Goods and Services Tax (SGST)	72,500
Sales Tax / VAT (petrol, diesel, liquor)	33,800
State Excise	21,000
Stamp Duty and Registration	18,750
Taxes on Vehicles	11,000

YAAD RAKHO

Order of own-tax heads: 'GST - VAT - Excise - Stamp - Vehicles'. Say it as G-V-E-S-V. SGST alone is bigger than the next two put together. If an option makes stamp duty or vehicle tax the largest head, it is wrong. Second warning: never swap the two central-money lines - share in central taxes Rs 90,446 crore (28%) is always bigger than grants-in-aid Rs 44,191 crore (14%), and 'NOT correctly matched' questions attach the grants figure to the devolution line.

Where the rupee goes - allocations, capital outlay and the thematic budgets

On the spending side three things are asked: which sector gets the most, how much is capital outlay, and how much is locked in committed expenditure.

Capital outlay is the productive part - roads, canals, buildings, assets. Committed expenditure is the unavoidable part - salaries, pensions and interest.

Top sector allocations, Budget 2026-27 (as of September 2026)

Sector	Allocation (Rs crore)
Education, Sports, Art and Culture	68,989
Energy	42,752
Rural Development	32,948
Health	32,526
Social Welfare and Nutrition	26,495

- Capital outlay 2026-27: Rs 53,978 crore - a 37% jump, the sharpest rise among the major heads.
- Largest percentage rise by department: Urban Development +58%, then Water Supply & Sanitation +34%, then Energy +24%.
- Committed expenditure (salaries + pensions + interest): Rs 1,68,403 crore = 52% of revenue receipts.
- So roughly half of everything Rajasthan earns is spoken for before a single new scheme is funded.

The thematic budgets - and the agriculture budget that came first

- Rajasthan lays thematic budget statements alongside the main budget - the agriculture one is the famous first-in-India.
- Rajasthan was the FIRST Indian state to present a separate Agriculture Budget - from 2022-23, presented on 23 February 2022 by then Chief Minister Ashok Gehlot.
- Thematic budgets 2026-27: Agriculture Rs 1,19,408 crore, Gender Rs 74,312 crore, Child Rs 51,138 crore, Green Rs 33,475 crore.
- Order to remember: Agriculture > Gender > Child > Green.

ASKED IN RAS

RPSC has repeatedly used the first-state-to-present-a-separate-agriculture-budget fact in statement form. Three things must all be right: it was Rajasthan, it began in 2022-23, and the year of presentation was February 2022. A common wrong option puts the first agriculture budget at 2019-20.

Deficits, debt and the Rajasthan FRBM Act, 2005

Two deficits, one debt ratio, one Act. Revenue deficit means the state's day-to-day income falls short of its day-to-day spending - that is bad borrowing, because nothing is created. Fiscal deficit is total borrowing for the year. Outstanding liabilities is the accumulated stock of debt. Learn each as a percentage of GSDP, because that is the form RPSC uses. And watch the arithmetic - the fiscal deficit of Rs 79,493 crore measured on the 2026-27 GSDP of Rs 21,52,100 crore works out to 3.69 per cent, which the budget documents round to 3.7 per cent. Same answer in two dresses; the real distractor in an option set is the 2025-26 figure, 3.9 or 4.3 per cent.

Deficits and debt as % of GSDP, 2026-27 - and the FRBM target



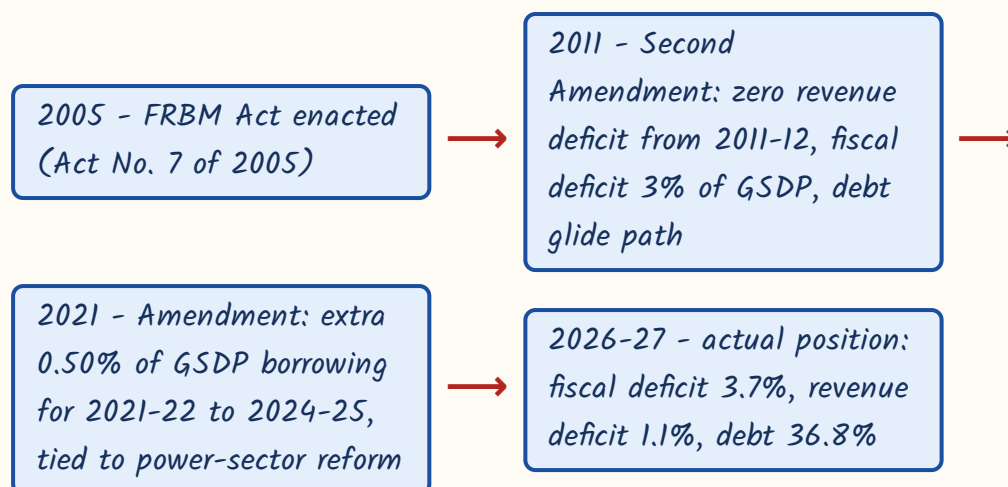
Deficit and debt position (Budget 2026-27; PRS analysis; as of September 2026)

Indicator	Amount	As % of GSDP
Fiscal deficit 2026-27	Rs 79,493 crore	3.69%, shown as 3.7%
Revenue deficit 2026-27	Rs 24,314 crore	1.1%
Fiscal deficit 2025-26 (RE / BE)	-	3.9% RE, 4.3% BE
Fiscal deficit 2024-25	-	4.1%
Outstanding liabilities 2026-27	-	36.8% (38% in 2025-26 RE)

The FRBM Act and its two amendments

- Notice the direction - fiscal deficit 4.1% then 3.9% then 3.7%, and debt 38% down to 36.8%. Both are falling.
- Rajasthan Fiscal Responsibility and Budget Management Act, 2005 - Act No. 7 of 2005.
- The 2011 (Second) Amendment fixed a ZERO revenue deficit from 2011-12 and a fiscal deficit of 3% of GSDP.
- The 2011 amendment also laid a debt-to-GSDP glide path: 39.3% (2011-12), 38.3%, 37.3%, 36.5% (2014-15).
- The 2021 amendment allowed an extra 0.50% of GSDP of borrowing for 2021-22 to 2024-25, linked to power-sector reform.
- The Act does not ban borrowing - it caps and disciplines it. That is a favourite 'NOT correct' option.

FRBM in Rajasthan - the three dates



ASKED IN RAS

Asked in RAS Pre 2023 and 2024 - the year of the Rajasthan FRBM Act (2005) and the fiscal deficit target under the 2011 amendment (3 per cent of GSDP). In 2023 the current fiscal-deficit percentage was asked alongside. This pair - the Act's year and the 3 per cent target - is the highest-return two-fact combination in the chapter.

TRAP

Target is not achievement. The FRBM target is 3 per cent and zero revenue deficit; the actual 2026-27 numbers are 3.7 per cent and a revenue deficit of 1.1 per cent. A statement claiming Rajasthan has achieved zero revenue deficit is false.

State Finance Commissions, price indices and the social numbers

State Finance Commissions of Rajasthan

A State Finance Commission decides how state revenue is shared with panchayats and municipalities. It is constituted by the Governor once every five years. Two Articles, and RPSC asks which is which - 243-I is for panchayats, 243-Y is for municipalities. Learn the six chairpersons as a sequence, not as isolated names - Goyal, Devpura, Surana, Kalla, Jyoti Kiran, Pradhyuman Singh. RPSC has asked exactly this as a chronological-ordering question, and has planted outsiders like Arvind Panagariya in the option set.

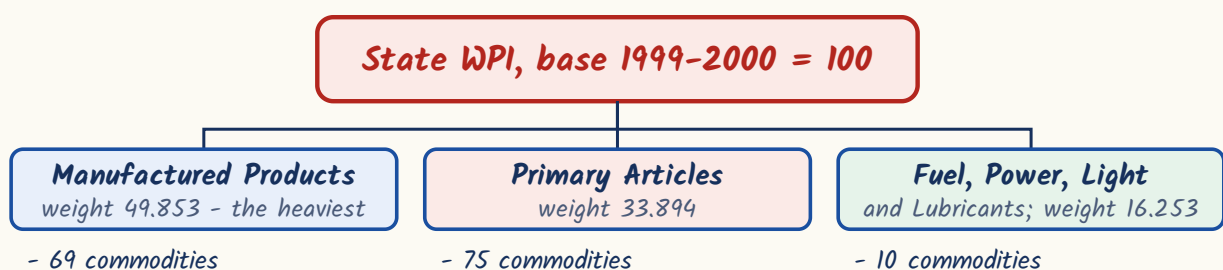
The six State Finance Commissions of Rajasthan

Commission	Chairperson	Note
First (1994)	Krishna Kumar Goyal	The first, constituted 1994
Second	Hira Lal Devpura	-
Third	Manik Chand Surana	-
Fourth	Dr. B.D. Kalla	-
Fifth	Dr. Jyoti Kiran	Award period 2015-20
Sixth	Pradhyuman Singh	Constituted 12 April 2021; award period 2020-25

Price indices - the identical 2016 and 2018 question

- Rajasthan runs its own WPI, compiled by the Directorate of Economics & Statistics - its base year is the most repeated economics fact in RAS.
- Rajasthan state WPI: base year 1999-2000 = 100, effective 1 January 2005, replacing the old 1952-53 = 100 series.
- It covers 154 commodities - 75 primary articles, 69 manufactured products, 10 fuel and power.
- Group weights: Manufactured Products 49.853 > Primary Articles 33.894 > Fuel, Power, Light and Lubricants 16.253.
- All-India WPI base year revised from 2011-12 to 2022-23, effective 15 June 2026; the basket rose from 697 to 957 items.
- CPI-IW base 2016 = 100 (Labour Bureau, Shimla); Rajasthan centres are Jaipur, Alwar and Bhilwara.
- CPI for Agricultural and Rural Labourers base 1986-87 = 100; general CPI (rural/urban/combined) base 2012 = 100.
- Five base years get mixed in match-the-following - state WPI 1999-2000, all-India WPI 2022-23, CPI-IW 2016, CPI-AL/RL 1986-87, general CPI 2012. Revise them as one block.

Rajasthan's state WPI - 154 commodities in three groups



ASKED IN RAS

Asked identically in RAS Pre 2016 and RAS Pre 2018 - the base year of Rajasthan's state Wholesale Price Index. Answer: 1999-2000. In 2018 it also appeared as a 'NOT correctly matched' pair, with the wrong option pairing the state WPI with 2011-12. Two papers, one fact - learn 1999-2000, 154 commodities, Manufactured Products heaviest.

CURRENT LINK

Current link, as of September 2026: the all-India Wholesale Price Index shifted to a new base year of 2022-23 with effect from 15 June 2026, and its item basket was widened from 697 to 957 items. Rajasthan's own state WPI is untouched by that revision and still runs on base 1999-2000 = 100. If a base-year revision is asked as a current-affairs item this year, it is the all-India series that changed, not the state one.

The social and poverty numbers

- Census 2011 Rajasthan: population 6.85 crore, decadal growth 21.31%, density 200 per sq km, sex ratio 928, literacy 66.11%, urban population 24.89%.
- NITI Aayog, National MPI - A Progress Review 2023: Rajasthan's multidimensional poverty headcount fell from 29.90% in 2015-16 to about 16% in 2019-21, one of the steepest declines in the country.
- The all-India MPI headcount over the same period fell from 24.85% to 14.96% - so Rajasthan started above the national level and is still a little above it.
- Nationally about 46% of workers are in agriculture (PLFS 2023-24); Rajasthan's farm-employment share is well above that - remember the direction, not a decimal.
- Rank questions on social indicators are risky - Rajasthan's literacy and sex-ratio ranks move between Census rounds, so answer with the Census 2011 value (66.11% and 928), not with a remembered rank.

REVISION RECAP

1. GSDP 2026-27 BE Rs 21,52,100 crore; 2025-26 RE about Rs 18.75 lakh crore.
2. Growth 2025-26: 8.66% constant, 10.24% current (Economic Review 2025-26).
3. Rajasthan = about 5% of India's GDP; largest state by area, 8th by population.
4. Per capita income Rs 2,02,349 current / Rs 1,03,189 constant; below the national average.
5. GSVA order S-I-A: Services 47.7%, Industry 26.5%, Agriculture 25.7%.
6. Budget 2026-27 total expenditure Rs 6,10,956 crore; receipts Rs 6,01,480 crore.
7. Presented February 2026 by Deputy CM and Finance Minister Diya Kumari.
8. Capital outlay Rs 53,978 crore, up 37% - the sharpest rise.
9. Revenue receipts mix: own tax 50, central taxes 28, grants 14, non-tax 8 (per cent).
10. Own-tax order: SGST 72,500 > VAT 33,800 > Excise 21,000 > Stamp 18,750 > Vehicles 11,000 (Rs crore).
11. Education, Sports, Art & Culture gets the largest sector allocation, Rs 68,989 crore.
12. Committed expenditure Rs 1,68,403 crore = 52% of revenue receipts.
13. Thematic budgets: Agriculture 1,19,408 > Gender 74,312 > Child 51,138 > Green 33,475 (Rs crore).

14. First state in India with a separate agriculture budget - 2022-23, presented 23 February 2022.
15. Fiscal deficit 3.7% of GSDP (Rs 79,493 cr); revenue deficit 1.1% (Rs 24,314 cr); debt 36.8%.
16. FRBM Act 2005 (Act No. 7 of 2005); 2011 amendment - zero revenue deficit from 2011-12, fiscal deficit 3%.
17. 2021 FRBM amendment - extra 0.50% of GSDP borrowing, tied to power-sector reform.
18. SFCs under Articles 243-I (panchayats) and 243-Y (municipalities); six so far, 6th chaired by Pradhyuman Singh.
19. State WPI base 1999-2000 = 100, 154 commodities, Manufactured Products the heaviest group.
20. MPI poverty in Rajasthan down from 29.90% (2015-16) to about 16% (2019-21), NITI Aayog Progress Review 2023; all-India 24.85% to 14.96%.